

DUTCH BROS INC.

NYSE: BROS

Equity Research Report

Independent Research | 3 September 2026

EXECUTIVE SUMMARY

Dutch Bros is a short. I believe it is a good business with a strong brand but at \$48 per share it seems like investors are paying for a long runway of growth as if it is something competitors and local players cannot replicate.

The company plans to nearly double its footprint to 2,029 shops by 2029. I don't think the key question is whether Dutch Bros can open them, recent execution suggests it's very possible. The harder question is what those shops will earn as markets mature, Dutch Bros increases its own density, and competitors pursue many of the same customers and locations in a highly convenience-oriented category.

My concern begins with the moat. Dutch Bros has built real brand equity, but the features underlying its model (drive-thru convenience, customizable beverages, energy drinks, rewards and service) are increasingly offered by competing concepts. The success of those competitors does not mean Dutch Bros will lose, but it makes me question what protects today's attractive economics as the category fills.

I see early evidence of this in BROS' own system. My analysis derives franchise same-shop sales of only 0.6% in Q2-26 vs. 8.3% for company-operated shops, with almost the entire difference coming from transactions. The franchise base is substantially older, making it an imperfect but useful window into mature-shop performance. My broader shop-age analysis points in the same direction: transaction growth appears to fade as shops mature.

None of this requires Dutch Bros to become a bad business.

My short rests on a narrower belief: the market is pricing a long runway of high-return growth with more certainty than I think the competitive structure warrants.

My 18-month probability-weighted price target is \$40.58, implying 16% downside with a bear / base / bull range of \$29.71 / \$39.23 / \$55.51.

I. A Strong Brand Is Not Necessarily a Moat

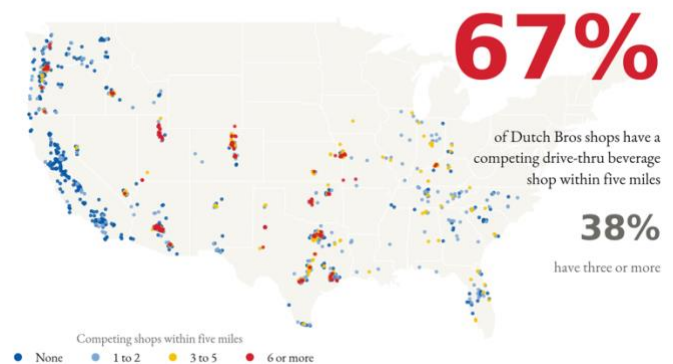
Dutch Bros has a strong brand. I don't think that's really up for debate. Its shops generate high volumes, 73% of transactions come from Dutch Rewards members, and company-operated transactions still grew 3.4% in Q2 despite a difficult consumer backdrop.

What I question is what protects the brand economically. Dutch Bros' management points to customization, speed, convenience, loyalty, and its "Broista" led customer experience as competitive advantages. They even went as far as describing customization as helping create a "competitive moat". I struggle with that characterization, because none of these features appear particularly difficult to reproduce.

Exhibit 1: Drive-Thru Beverage Competition Map

Every Dutch Bros shop, shaded by competing drive-thru beverage shops within five miles

3,508 locations across fifteen drive-thru coffee, tea and soda chains. Distances measured between ZIP code centroids.



The evidence is already visible. Scooter's operates more than 950+ locations across 33 states with a drive-thru model built around caffeinated drinks, speed, and friendly service. 7 Brew's 85+ locations span 38 states, including many markets Dutch Bros is expanding into. Black Rock Coffee as well; I can keep naming these off. Not to mention, it becomes extra apparent who's in competition when three different menus each carry a Dutch chocolate, a German chocolate, and a Belgian chocolate drink.

Now, I'm not claiming that these businesses are equivalent to Dutch Bros. BROS' higher average unit volumes suggest customers do value the brand, but competitors do not need to surpass them for my thesis to work. The point is narrower: there is not a structural reason why Dutch Bros would be insulated from these other players.

The competition is not only for sales. As BROS scales it also competes for real estate, labor, and beverage occasions. The company itself names competition for employees, operators, and suitable sites as risks to its growth strategy.

The path to 2,029 shops requires rapid new-market expansion and brand awareness spend. New competitors, large and local, are pursuing many of those same markets simultaneously. The available whitespace may be real, but I am less convinced it will belong exclusively to Dutch Bros as it did on the West Coast.

I therefore view BROS' brand as an advantage, but not any proof of a moat. If that is right, the relevant question for the next era of growth is not simply how many shops Dutch Bros can open, it is whether the next several hundred shops can earn the same attractive economics as the ones that came before them.

II. Unit Growth Is Not the Question

I do not think my short depends on Dutch Bros missing its shop count target. Management plans to reach 2,029 shops by 2029, has already secured roughly 90% of the real-estate pipeline to get there, and continues to open shops ahead of schedule. New-shop productivity has also remained strong, with management saying Q2 openings were keeping pace with rising systemwide AUVs.

The harder question is what those shops earn once they are no longer new. Dutch Bros is expanding in two directions at once: entering new markets while adding density to existing ones. Management views that density as a competitive advantage because it builds awareness and convenience. I think there's another side to it. Each additional shop also divides a market across more Dutch Bros locations, while competitors are simultaneously competing for the same customers and sites.

This matters, because the economics of the next shop are more important than the number of shops. A new location can add revenue while still creating less value than the location before it if its mature AUV is lower, it transfers sales from nearby shops, requires more expensive real estate, or needs more marketing to generate traffic. Dutch Bros can hit 2,029 shops and still disappoint investors if returns on the way there decline.

The build-to-suit shift makes this distinction especially important. The strategy reduces the cash Dutch Bros must invest upfront by shifting more development cost to landlords, helping the company accelerate openings. But that capital is not free. In Q2, occupancy and other costs increased 50bps year-over-year, primarily from higher rents on new build-to-suit shops, and management expects roughly 50bps of pressure for the full year.

There's little evidence yet that these pressures are hurting new-shop performance. In fact, current evidence is favorable: management highlighted unusually strong openings in Chicago and newer markets. That's an important risk to my thesis. It is also why I think opening performance is the wrong place to stop the analysis.

A shop opening at a high volume tells us that customers are excited to try Dutch Bros. It tells us less about what that shop looks like five years later, after the market has more locations, competitors have moved in, and the initial excitement has normalized.

This led me to look for a way to observe mature Dutch Bros economics today rather than wait several years to find out. The franchise system provides an imperfect but useful test.

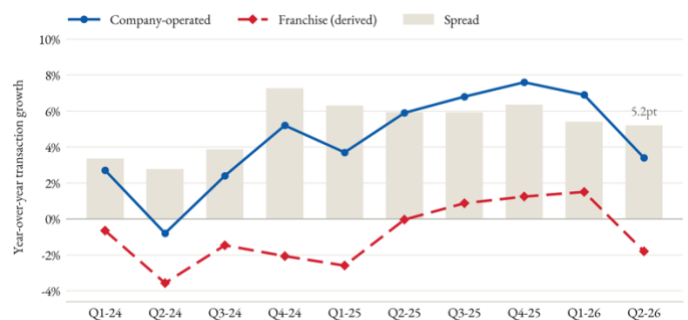
III. The Franchise System as a Test

Dutch Bros does not disclose same-shop sales for franchise shops separately. It only reports company-operated and systemwide results. But because it also disclosed each group's share of comparable base sales, we can approximate the missing franchise figures.

$$\text{Franchise SSS} = \frac{\text{Systemwide SSS} - \text{Company Weight} \times \text{Company SSS}}{\text{Franchise Weight}}$$

In Q2 2026, company-operated shops comped 8.3% while systemwide shops comped 5.8%. My calculation implies franchise SSS of roughly 0.6%. More importantly, the difference is primarily traffic: company-operated transactions grew 3.4% while franchise declined 1.8%.

Exhibit 2: Transaction Growth Spread



A gap this large between two groups operating under the same brand deserves an explanation, and I think shop age plays an important part. After ending its franchise program in 2017, Dutch Bros has focused overwhelmingly on company-operated development. The result is a company-operated base that contains far more recent openings, while the franchise system represents a much older population.

Management itself pointed to this difference. When asked directly about the company-systemwide spread on the Q2 call, CFO Josh Guenser said one of the biggest drivers was the "strong comp tailwinds coming from the newer vintages of shops," which disproportionately benefit the younger company-operated system. Management also identified food rollout as an additional contributor to the Q2 gap, particularly on ticket.

I do not view franchise performance as a perfect control group. Franchise shops differ in age, food availability, geography, and potentially other factors I can't fully isolate. But the size of the age gap, combined with management's own explanation, makes the

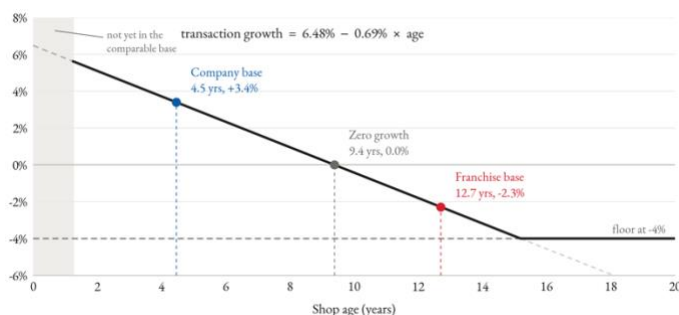
franchise system a useful window into the question: what happens to traffic as Dutch Bros shops mature?

My shop-level analysis points in the same direction. Transaction growth is strongest among younger shops and fades in the older cohorts. That doesn't mean mature Dutch Bros shops perform poorly, in fact they hold higher AUVs, but it suggests that the growth rate investors see today may partly reflect the age of a younger system rather than a permanent company-level traffic advantage.

IV. How Fast a Shop Slows Down

To quantify the relationship between shop age and traffic, I modeled transaction growth as a linear relationship against shop age.

Exhibit 3: Transaction Growth Decay by Shop Age



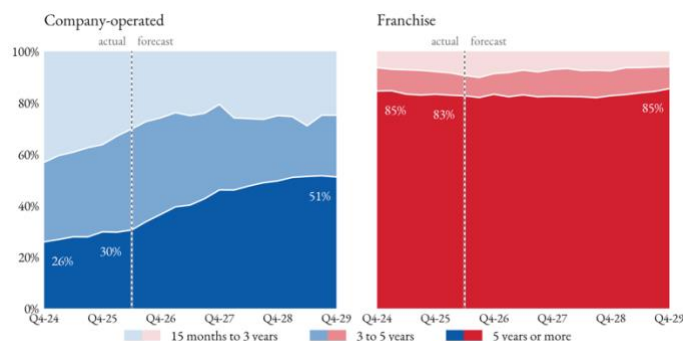
I solved for both parameters each quarter from the two disclosed transaction figures. Average shop age comes from my cohort build of every quarterly opening back to Q4 2019, so most shops carry an exact age rather than an assumed one.

The decay solves to roughly 0.67 points of transaction growth lost for each year of shop age. The rate ranges from 0.34 to 0.87 points across the ten quarters I can compute, with a median of 0.67. The intercept moves around considerably with external market factors I cannot isolate. My cohort build estimates the average comparable company shop around 4.5 years old vs. 12.7 years for the franchise base.

At a 0.67-point annual decay, a Dutch Bros shop reaches roughly zero transaction growth around 9.4 years old. I do not extrapolate that relationship indefinitely. In my forecast, I floor transaction decline at -4%, roughly the worst franchise quarter derived from the disclosures. The relationship is imperfect, but I found it a useful way to translate the age difference I observe into a forecast.

The implication becomes more important as the system matures. Even if Dutch Bros builds every shop management has promised, shops five years or older increase from 30% today to 51% in 2029. Nothing has to go wrong for this to happen. This is all arithmetical aging and replacement rate logic.

Exhibit 4: Comparable Base Age Mix



V. What Today's Price Assumes and What I Think It Is Worth

The valuation is where these concerns become actionable. At roughly \$48 a share, I do not think the market is simply pricing continued growth. It is pricing continued high-quality growth. BROS is delivering that currently: Q2 revenue grew 32.5%, adjusted EBITDA grew 27.8%, and management raised 2026 guidance to \$2.1 billion of revenue.

Exhibit 5: WACC Calculation

Risk-free rate	4.74%	Damodaran, 8/1/26
Equity risk premium	4.28%	Damodaran, 8/1/26
Beta	1.75	Peer relevered
Tax rate	25.0%	Statutory
Cost of equity	12.22%	
After-tax cost of debt	3.67%	Q2-26 10-Q
Debt / total capital	11.8%	Incl. leases
WACC	11.0%	

I value BROS on a ten-year DCF at an 11.0% cost of capital. The beta is 1.75 built by unlevering the betas of four comparable operators, taking the median of 1.59, and relevering at Dutch Bros' capital structure. I treat the \$1.0 billion of finance and operating leases as debt. I run two terminal methods off the same cash flows, a perpetuity growth calculation at 3.0%, and a 12x exit multiple on 2036 EBITDA.

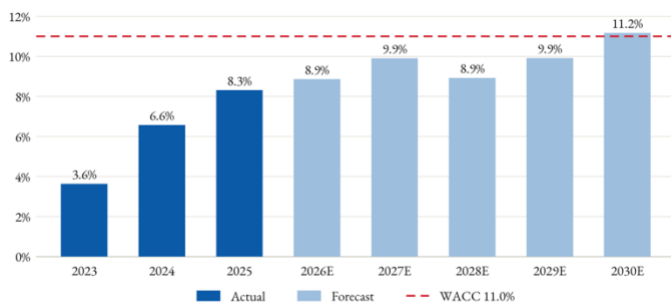
My model does not assume their growth suddenly stops. I still forecast continued shop openings, positive same-shop sales, and meaningful earnings growth. Where I differ is the durability of those economics. As the system matures, I assume transaction growth moderates and the multiple investors are willing to pay normalizes.

Exhibit 6: Valuation Football Field

My base case produces a value of \$39.23 using a median 0.67 point annual transaction decay, 2.0% normalized ticket growth, and management's planned opening cadence. The bear case of \$29.71, assumes mature-shop traffic decays at 0.87 points per year of shop age with ticket settling at 1.0% as they lose the ability to increase pricing on a young, price-sensitive consumer base. The bull case of \$55.51 assumes BROS proves my central concern wrong: traffic remains strong at a decay rate of 0.34 points, with ticket at 3% and openings 10% above plan. Weighting these scenarios at 20 / 60 / 20 gives an 18-month price target of \$40.58, or 16% downside, with 38% downside to the bear case against 16% upside to the bull.

It's important to note that the short does not require an operational collapse. BROS can reach its development targets and remain a popular growing brand. I only need the economics of that growth to become somewhat less exceptional as the system gets larger.

That is a relatively small difference in the operating thesis but at a premium valuation it creates a meaningful difference in what I am willing to pay.

Exhibit 7: ROIC vs. WACC

VI. Event Path & Catalysts

My thesis should become more testable over the next 18 months as whitespace market density increases and today's younger shop base matures. I would focus on three checkpoints:

- **Q3 & Q4 2026, Transaction Growth:** company transactions lap 6.8% and 7.6%, the toughest two-year stack in the series. My model has 3.4% and 3.4%. I am watching the direction

against those comparisons rather than the level, and whether the company-franchise spread holds once the food program is rolled out in both systems.

- **Management Commentary on Competition:** Dutch Bros management discusses competitive intensity as a category condition and names competition for sites and labor only in its risk factors. I will watch for a change in that framing: a named competitor on a call, a market where slower ramp is attributed to competitive density, or a second loss of sites like the Salad and Go leases. Management acknowledging competition in a specific market would be a confirmation that whitespace is highly contested, and it would come before it shows up in a comp number.
- **FY27 Results & Initial FY28 Guidance:** The thesis is tested here. By then, menu pricing and the food rollout should have both lapped into company and franchise shops, so the reported comp is closer to the true rate without recent levers. Shops five years or older will have gone from 30% of the company comparable base to roughly 46%. My model has FY27 company-operated SSS of 5.3% and company at 3.2% against franchise at -2.9%. If mature-shop instead holds up through that shift in mix while new markets sustain their AUVs and returns, the central assumption of my thesis would be wrong.

VII. What Would Make Me Wrong

The biggest risk to my thesis is simple: **Dutch Bros may have a stronger and more durable brand advantage than I am giving it credit for.** Recent reports support that possibility as AUV continues reaching record levels, the food-program rollout contributed to ticket, and management continues reporting strong productivity from newer shop vintages. A couple things in particular could make me wrong:

- **Order ahead is unspent.** It sits at 16% of transactions despite being available across most shops since 2024. Management believes it to be a runaway into the morning daypart. If it converts, that's a transaction lever with nothing to do with shop age and it would lift company comps without contradicting anything I've argued.
- **The franchise base is concentrated in the West.** QSR research hub named California one of the weakest regions for restaurant traffic in the country with SSS negative in eight of twelve months through October 2025. If the franchise gap reflects where those shops are rather than how old they are, my age argument weakens considerably.
- **Decay may be non-linear.** I solve one slope from two points, company shops at 4.5 years and franchise at 12.7. That gives an average rate across the range but says nothing about its shape. If transaction growth falls fastest in early years and flattens later, I would be overstating the fade.

Lastly, I am mostly alone on this. Consensus is a strong Buy with an average target between \$70-\$80 and we haven't seen many cuts. More to the point, the central evidence in this write-up is a figure Dutch Bros does not disclose. I derived franchise SSS from the two reported numbers and each group's share of comparable base sales. If my weighting is wrong, the derivation is wrong, and so is most of what follows it.

VIII. Business & Industry Overview

Dutch Bros is a drive-thru beverage business with two operating segments: company-operated shops and franchising & other. Company-operated shops generate the vast majority of revenue, while franchise revenue primarily consists of royalties and other fees tied to franchise sales. Since 2017, BROS has focused development primarily internally, only offering franchises to existing, internal partners. This has made the business increasingly capital-intensive but allowing greater control over operations and culture. As of Q2-2026, 888 of 1,225 shops were company-operated.

The product mix extends beyond coffee. Coffee represents roughly 50% of sales, Rebel energy drinks about 25%, and teas, lemonades, smoothies, sodas and other products make up the remainder. Roughly 85% of sales occur through the drive-thru, making throughput and convenience central to the model.

The category is attractive because beverages can support high margins, frequent visits, and small-format locations. That attractiveness also lowers the uniqueness of the opportunity. BROS not only competes with regional drive-thru concepts, but also national chains, local spots, and nearly any other QSR with something to sip on. BROS itself acknowledges that competitors are adopting its drive-thru convenience, digital ordering, and similar product offerings.

Exhibit 8: Peer Benchmarking

	Revenue growth, TTM	Same-shop sales	AUV (\$m)	Unit growth	Unit margin	EV / EBITDA	P / E FY27E
CAVA	26.8%	4.0%	2.93	19.6%	24.4%	45.5x	83.5x
Shake Shack	17.3%	2.3%	nd	13.4%	22.6%	20.6x	48.5x
Portillo's	2.9%	-0.5%	8.50	8.5%	21.6%	13.1x	19.6x
Wingstop	7.6%	2.6%	nd	14.0%	nd	18.1x	21.1x
First Watch	19.3%	3.6%	2.29	14.5%	18.5%	15.5x	48.4x
Starbucks	4.5%	-1.0%	nd	2.4%	nd	24.9x	34.2x
Chipotle	7.3%	-1.7%	3.10	8.5%	25.4%	23.5x	28.1x
Texas Roadhouse	9.9%	4.9%	8.69	7.2%	15.5%	19.0x	24.5x
Peer median	8.8%	2.5%	3.10	11.0%	22.1%	19.8x	31.2x
Dutch Bros	29.6%	7.4%	2.06	21.0%	28.9%	31.0x	36.7x

Revenue growth is TTM; other operating metrics are FY2025 as reported. Unit margin is pre-DBA, as each company defines it.

I view the competitive question less as who sells the best coffee and more as who can repeatedly secure attractive sites, generate hype and traffic, and earn strong returns as the category density increases.

IX. Outstanding Diligence

The single factor I would most want to understand better is whether Dutch Bros' traffic advantage persists as shops mature and local markets become more competitive. My analysis suggests age matters, but the disclosed KPIs do not separate shop maturity from geography, site quality, food availability, cannibalization, or local competition. Management also continues to report strong new-shop productivity and argues that greater density is a competitive advantage.

My decay rate is a line drawn from two points from two group averages which is a thin assumption. What would give me real conviction is seeing how these age groups behave differently in real-time.

Using AI, I would extend the location dataset I built for this report. I already have 1,256 Dutch Bros shops and 3,508 direct drive-thru competitors with addresses. What I don't have is an opening date for each location, mine or theirs. I would have an agent scrape those from local press coverage, permit filings, or the first review on Google or Yelp, then geocode every address to get exact distances rather than the ZIP-level proxy I used here.

Paired with licensed foot-traffic data, that dataset would let me test both halves of my thesis on the same panel. First, whether visits per shop decline with age at the 0.67-point rate I solved for. Second, and more directly, what happens to a Dutch Bros shop's traffic when a competitor opens nearby: how large the effect is, how it varies with distance, whether it fades as the market absorbs the new entrant or persists, and whether newer Dutch Bros shops are more exposed than mature ones. Every competitor opening is a natural experiment with a date and a location attached, and there are thousands of them.

If traffic declines with age and drops again when a rival opens within a mile or two, both arguments in this report hold on independent data. If shop traffic is unaffected by nearby openings, my competition argument is wrong, and if age does not predict visit growth once geography is controlled, the derived franchise number reflects where those shops are rather than how old they are.

My non-consensus belief is not that Dutch Bros will fail to reach its growth targets. It is that the market places too much certainty on the durability of its competitive advantage and the economics behind it.